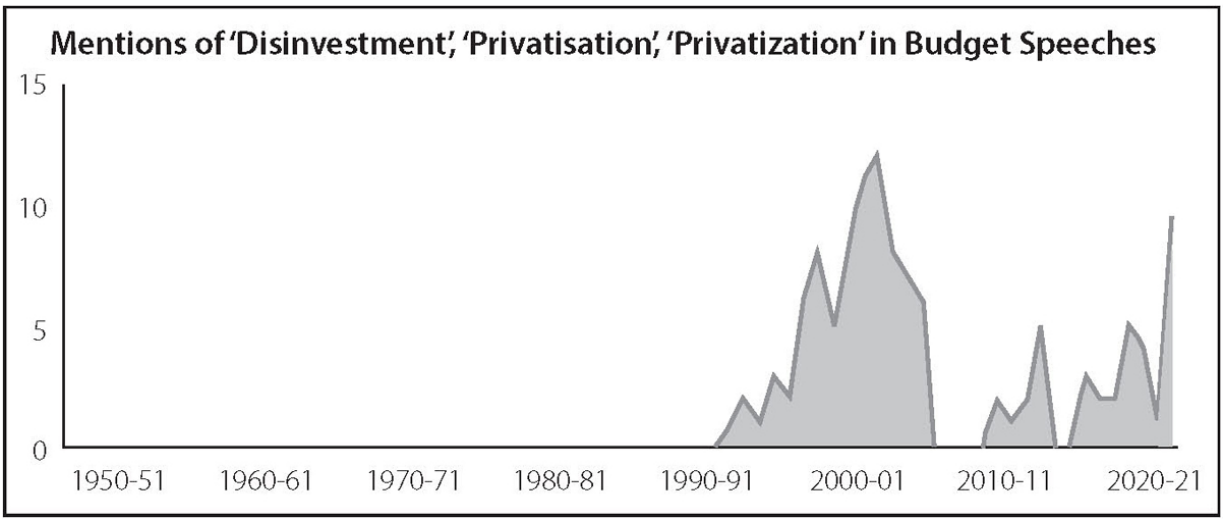
Figure 10.10: FM Word Play: Vajpayee's Finance Minister Focused on Disinvestment Twice as Much as Modi's Finance Ministers (Budget Speeches: 1950-51 to 2020-21)



Source: Budget speeches by Union finance ministers. Analysis by Rishabh Srivastava, Nalin Mehta, PollNiti

In practice, Modi was an 'incrementalist' on privatisation in his first term. As the economics commentator Swaminathan A. Aiyar has pointed out, Modi made a 'number of small changes' but avoided a 'sweeping liberalisation of the economy'. In his second term, that approach started changing. In late 2019, the government slashed the corporate tax rate from 30 per cent to 22 per cent (plus surcharges), and to 15 per cent for greenfield investments in manufacturing made by April 2023. This was followed, in October 2021, with the announcement of the Tata Group as the winning bidder for Air India, one of the country's biggest public sector companies. This cleared the way for the 'cash-strapped Maharaja going back to the founder exactly 68 years after India has nationalised its private airlines in 1953'.[99] The closure of the Air India disinvestment process, coming after several earlier attempts failed, signalled a big shift in intent.[100] While the government's disinvestment targets have steadily risen, the fact is that until big companies like Air India and Bharat Petroleum were privatised, it would not be seen as a serious effort. As Aiyar argued, 'The star on the auction block, Bharat Petroleum, is India's sixth largest company by sales. The Container Corporation of